THE PRIME MINISTER'S OFFICE
REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT
LONGIDO DISTRICT MID TERM JOINT EXAMINATION

FORM ONE
065 BUSINESS STUDIES
MARKING SCHEME AUGUST 2026

SECTION A (15 MARKS)

QUESTION 1

(i)	(ii)	(iii)	(iv)	(v)	(vi)	(vii)	(viii)	(ix)	(x)
A	B	D	B	C	D	A	A	A	C

QUESTION 2

LIST A	(i)	(ii)	(iii)	(iv)	(v)
LIST B	D	C	F	A	B

SECTION B (40 MARKS)

QUESTION 3

(a)

(i)

- Business: an activity involving production, distribution or exchange of goods and/or services to satisfy human needs and wants, usually for a return/profit.
- Business Studies: a field of study concerned with knowledge and skills related to business activities and their management.

(ii)

- Entrepreneur: a person who identifies a business opportunity, organizes resources and takes risks to establish and operate a business.
- Entrepreneurship: the process of identifying opportunities, organizing resources, taking risks and creating/operating a business or venture.

(b) Intrapreneur is an employee who use entrepreneurial skills within an organization WHILE entrepreneur is a person who start business by taking risk for aim of making profit

(c) Producer goods are goods used to produce other goods WHILE consumer goods are goods which created for consumption only

(d) Economic goods are goods which has exchange value WHILE free goods are goods which has no exchange value

(e) Durable goods are goods which stay for long time WHILE Perishable goods are goods which stay for short time

QUESTION 4

Importance of entrepreneurship

(i) Promotes innovation

(ii) Foster economic development

(iii) Encourage investment
(iv) Stimulate competition
(v) Promotes international trade
(vi) Promote creativity and innovation
(vii) Promotes social changes

QUESTION 5

(a) Opportunity cost is the second best alternative foregone after making a choice.

(b) John's opportunity cost

(i) Enrolling in a short computer course to improve skills

(ii) Buying a motorcycle to use for transport services

(c) Opportunity costs occur due to scarcity of resources: human wants are unlimited and resources are scarce so some wants must be foregone and choose the best wants.

QUESTION 6

(a) Any three:

(i) Identifies business opportunities.
(ii) Organizes and coordinates resources.
(iii) Takes calculated risks.
(iv) Makes business decisions.
(v) Introduces innovations.
(vi) Creates employment.
(vii) Mobilizes capital/resources.
(viii) Produces/distributes goods and services.

(b) Any three, appropriately explained:

(i) Desire for self-employment/independence.
(ii) Desire to earn income or profit.
(iii) Identification of a business opportunity.
(iv) Desire to solve a problem in society.
(v) Need for achievement.
(vi) Availability of resources/capital.
(vii) Desire to use one's skills or talents.
(viii) Unemployment/lack of suitable employment opportunities.

(c)

(i) B — Innovation theory
(ii) A — Need for Achievement theory
(iii) C — Risk-bearing theory
(iv) D — Social theory

Total: 10 marks

SECTION C (45 MARKS)

QUESTION 7

Importance of studying business studies

(i) Entrepreneurship and innovation
(ii) Understand customer needs and preferences
(iii) Critical thinking and problem solving
(iv) Global perspective
(v) Financial literacy
(vi) Career opportunities
(vii) Soft skills development
(viii) Adopting to change

QUESTION 8

Characteristics of entrepreneur

(i) Creative and innovation
(ii) Networking
(iii) Optimism
(iv) Self-commitment
(v) Flexibility
(vi) Open mindedness
(vii) Risk taking

QUESTION 9

(a) Any three qualities with appropriate explanations:

(i) Creativity — she developed an idea for producing exercise books locally.
(ii) Innovativeness — she introduced a new exercise-book design.
(iii) Risk-taking — she invested her savings despite the possibility of loss.
(iv) Proactiveness — she acted after identifying a problem in her community.
(v) Opportunity identification — she recognized the shortage of affordable stationery as a business opportunity.

(b)

Innovation theory. It explains entrepreneurship as involving the introduction of new ideas, products, methods or combinations that create value.

(c) Any three explained:

(i) Creates employment opportunities.
(ii) Provides goods/services to meet community needs.
(iii) Generates income for the entrepreneur and others.
(iv) Contributes taxes/revenue to government.
(v) Encourages innovation and local production.
(vi) Utilizes locally available resources.
(vii) Promotes economic growth and improved living standards.